

		(Complaint, ¶ 34) and the Complaint was filed on 4-10-23. Therefore, the Complaint is timely filed. Thus, Defendants' demurrer to the fourth cause of action is OVERRULED. Plaintiff is to file an amended complaint within 20 days of notice of this ruling. Defendants are to give notice.
5	2021-01198190 <i>Images Luxury Nail Lounge, Inc. vs. State of California</i>	Motion for Summary Judgement and/or Adjudication NO TENTATIVE
6	2021-01217849 <i>Jones vs. Valenzuela</i>	OFF CALENDAR
7	2023-01308368 <i>Mobile Kitchen USA, Inc. vs. Peter Vander Werff Construction, Inc.</i>	1) Application/Request 2) Motion for Change of Venue (Transfer) 1. Motion for Change of Venue (Transfer) Defendant Peter Vander Werff Construction, Inc.'s Motion for Change of Venue is GRANTED. "Where there are multiple parties and causes of action, venue may be proper in more than one county." (Rycz v. Superior Court of San Francisco County (2022) 81 Cal.App.5th 824.) Code Civ. Proc. § 396b states in pertinent part: "(a) Except as otherwise provided in Section 396a [not applicable here], if an action or proceeding is commenced in a court having jurisdiction of the subject matter thereof, other than the court designated as the proper court for the trial thereof, under this title, the action may, notwithstanding, be tried in the court where commenced, unless the defendant, at the time he or she answers, demurs, or moves to strike, or, at his or her option, without answering, demurring, or moving to strike and within the time otherwise allowed to respond to the complaint, files with the clerk, a notice of motion for an order transferring the action or proceeding to the proper court, together with proof of service, upon the adverse party, of a copy of those papers. Upon the hearing of the motion the court shall, if it appears that the action or proceeding was not commenced in the proper court, order the action or proceeding transferred to the proper court. ¶ (b) In its discretion, the court may order the payment to the prevailing party of reasonable expenses and attorney's fees incurred in making or

resisting the motion to transfer whether or not that party is otherwise entitled to recover his or her costs of action. In determining whether that order for expenses and fees shall be made, the court shall take into consideration (1) whether an offer to stipulate to change of venue was reasonably made and rejected, and (2) whether the motion or selection of venue was made in good faith given the facts and law the party making the motion or selecting the venue knew or should have known. ..."

"[I]t is the moving defendant's burden to demonstrate that the plaintiff's venue selection is not proper under any of the statutory grounds." (Fontaine v. Superior Court (2009) 175 Cal. App. 4th 830, 836.)

Code Civ. Proc. § 395 states in pertinent part: "(a) Except as otherwise provided by law and subject to the power of the court to transfer actions or proceedings as provided in this title, the superior court in the county where the defendants or some of them reside at the commencement of the action is the proper court for the trial of the action." Code Civ. Proc. § 395 further states: "Subject to subdivision (b), if a defendant has contracted to perform an obligation in a particular county, the superior court in the county where the obligation is to be performed, where the contract in fact was entered into, or where the defendant or any defendant resides at the commencement of the action is a proper court for the trial of an action founded on that obligation, and the county where the obligation is incurred is the county where it is to be performed, unless there is a special contract in writing to the contrary." (Code Civ. Proc., § 395(a).)

Code Civ. Proc. § 395.5 states: "A corporation or association may be sued in the county where the contract is made or is to be performed, or where the obligation or liability arises, or the breach occurs; or in the county where the principal place of business of such corporation is situated, subject to the power of the court to change the place of trial as in other cases."

"The plaintiff's theory of the action as set forth in the complaint determines the venue. (Eckstrand v. Wilshusen (1933) 217 Cal. 380, 381-382, 18 P.2d 931.) ... ¶ A 'mixed action' is one where the plaintiff has alleged two or more causes of action, each of which is governed by a different venue statute. ... (Brown v. Superior Court (1984) 37 Cal.3d 477, 488, 208 Cal.Rptr. 724, 691 P.2d 272.) Where the defendant is entitled to a change of venue as to one cause of action, the entire action is transferred. (Jhirmack Enterprises, Inc. v. Superior Court (1979) 96 Cal.App.3d 715, 720, 158 Cal.Rptr. 192.)" (Gallin v. Superior Ct., (1991) 230 Cal. App. 3d 541, 544-45.)

Where "two sophisticated parties agree, pursuant to arm's length negotiations, to litigate an action in one of multiple statutorily permissible venues, they should be held to their agreement." (Battaglia Enterprises, Inc. v. Superior Court (2013) 215 Cal.App.4th 309, 318.)

"Venue is determined based on the complaint on file at the time the motion to change venue is made." (Malloy v. Superior Ct. (2022) 83 Cal. App. 5th 543, 553.)

As an initial matter, the Parties agreed, as part of the agreements both parties contend are enforceable, to an express written term in the subject Agreement, that “[i]f legal action is necessary to enforce the terms and conditions of this Equipment Lease, the Parties hereby agree that the Superior Court of California, County of Orange, shall be the sole jurisdiction and venue for the bringing of such action;” (Agreement, ¶ 19.2) Thus, as long as Orange County is a “statutorily permissible” venue for all of Mobile Kitchens’ causes of action, the Motion should be denied.

Plaintiff’s First Amended Complaint, the operative complaint at the time the Motion was filed, alleges causes of action for (1) Breach of Written Contract; (2) Fraud—Intentional Misrepresentation; (3) Fraud—False Promise; and (4) Declaratory Relief.

First, regarding the contract cause of action, PVW Construction contends that all performance of the prime contract takes place in San Diego County. (Gossage Decl., ¶ 9.) The Declaration of Charles Gossage states: “The Project is located in the County of San Diego. All performance of the Prime Contract takes place in the County of San Diego.” (Gossage Decl., ¶ 9.) Additionally, PVW Construction provides that the Lease was executed by PVW at its office in San Diego County. (Gossage Decl., ¶¶ 6, 14-17.)

Furthermore, a corporation’s “residence” is where the principal place of business of such corporation is situated. (Code Civ. Proc. § 395.5.) PVW Construction’s principal place of business is its home office located at 125 West Lexington Avenue, El Cajon, California 92020, which is within San Diego County. (Gossage Decl., ¶ 6; RJN § 3.)

Mobile Kitchens (referred to as MK in their brief) contends “[v]enue for actions relating to a PVW’s contractual obligations is proper in Orange County, as the location where the contract was written, revised, signed, and partially performed and was breached by PVW for non-payment. Crommelin Decl., ¶¶ 2, 5; Ex. A, C, E.” (Opposition, 11:18-21.) The Declaration of Wendy Crommelin states: “The Lease Agreement between MK and PVW, which Mr. Gossage initially signed in October 2021 (without making any changes), was drafted by MK and made in Orange County. The contract was to be partially performed in part in Orange County, where PVW was to pay MK. Throughout the duration of the lease term, PVW has sent its payments to MK’s 2031 South Lida Lane, Anaheim, California 92802 address.” (¶ 5.)

PVW Construction concedes that Orange County is the proper venue for the contract cause of action. (Supplemental Reply, ROA 117, 4:26-27 “PVW does not dispute whether Orange County is a proper venue for MK’s contractual claims.”)

Thus, the Court finds that this is sufficient to establish that Orange County is a “statutorily permissible” venue for the breach of contract cause of action.

Second, PVW Construction contends that Mobile Kitchens’ cause of action for fraud is a transitory cause of action, meaning it can only be tried in Defendant’s County of Residence. PVW cites Sausen v. Anderton (1954) 129 Cal.App.2d 324 (Sausen) for the proposition that, a fraud cause of action such as Plaintiff’s is transitory and

defendants are "entitled upon request to have this action tried in the county of the residence of one or the other of them." (Id. at p. 326.)

Sausen states: "'* * * Such an action is not 'founded' on the contract sought to be canceled—it is not a contract action at all, but a tort action based on fraud.' See also Brown v. Happy Valley Fruit Growers, 206 Cal. 515, 274 P. 977; Howe v. Tucker, 219 Cal. 193, 25 P.2d 832; Terry v. Rivergarden Farms Co., 29 Cal.App. 59, 154 P. 476; Kaluzok v. Brisson, 27 Cal.2d 760, 167 P.2d 481, 163 A.L.R. 1308." (Id. 325-326.)

Again, PVW Construction's principal place of business is its home office located at 125 West Lexington Avenue, El Cajon, California 92020, which is within San Diego County. (Gossage Decl., ¶ 6; RJN § 3.)

Mobile Kitchens (referred to as MK in their brief) contends "MK's fraud causes of action arise out of false promises and intentional misrepresentations made in the inducement of the Agreement, and therefore directly stem from PVW's contractual obligations under the Agreement. PVW used a 'bait and switch' approach by agreeing to essential terms, and then months later, after the contract had been performed sought to unilaterally and fraudulently change the terms of the deal by purporting to strike essential and material terms. As the fraud allegations arise and go hand in hand with PVW's contractual obligations, they fall within the ambit of the forum selection clause and independent of such, under C.C.P. Section 395.5 as they arise out of the contractual obligations." (Opposition, 11:21-12:2.)

Mobile Kitchens' interpretation of the FAC is supported by the following case. "Defendant contends, however, that the second cause of action sounds in tort; that is, an action of fraud is alleged and therefore the action becomes transitory and the county of defendant's residence the only proper county for trial. An examination of the complaint clearly indicates that plaintiffs' second cause of action is for damages flowing from the breach of the contract and not for fraud. Hence the second cause of action does not defeat plaintiffs' right to have the cause tried in Nevada County. Bloom v. Carpenter, 74 Cal.App.2d 790, 169 P.2d 388." (Carse v. Zarevich, (1959) 170 Cal. App. 2d 167, 168-69.)

PVW cites Haurat v. Superior Court (1966) 241 Cal.App.2d 330 (Haurat), which concerns a conversion cause of action, which is a transitory cause of action that should be tried in the defendant's residence. Like the plaintiff in Haurat, Mobile Kitchens requests punitive damages, which PVW claims is determinative: "where the plaintiff also seeks damages of a punitive nature, his recovery is necessarily dependent upon a showing of tortious conduct on the part of defendant. In such case it cannot be said that the gravamen of the action is ex contractu and that allegations of conversion or fraud are only incidental to the recovery of secret profits. (See Hill v. Superior Court, 16 Cal.2d 527, 530-531 [106 P.2d 876]; Steiner v. Rowley, 35 Cal.2d 713 [221 P.2d 9].)" (Id. at 335.)

Haurat further states: Section 3294 of the Civil Code provides: 'In an action for the breach of an obligation not arising from contract, where the defendant has been guilty of oppression, fraud, or malice, express or implied, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.' The primary purpose of this limitation is to

avoid injecting questions of fraud, malice, or oppression into contract actions, since most contract breaches arise from inability to perform or uncertainty as to the scope of the obligation, and the defendant is subject to strict liability upon a showing of breach regardless of his intent. (McCormick (1935) Damages, p. 291; see Freedman v. Rector etc. of St. Matthias Parish, 37 Cal.2d 16, 22 [230 P.2d 629, 31 A.L.R.2d 1].)" (Id. at 335.)

Haurat further states: "The present pleading incorporates in Counts I and III allegations which state causes of action both ex contractu and ex delicto in nature. While the use of language such as "converted" and "misappropriated" may not necessarily be determinative, it seems clear that a complaint in which there are allegations in support of and a prayer seeking exemplary damages cannot be categorized as solely ex contractu in nature. ¶ Since the plaintiff has plead a cause of action based upon the tort of conversion, the defendant has a right to have the action tried in the county of his residence (Mason v. Buck, 99 Cal.App. 219, 221 [278 P. 461]; Spangenberg v. Spangenberg, supra, 123 Cal.App. 387, 390-391)" (Id. at p. 337)

The First Amended Complaint (FAC) alleges that Mobile Kitchens relied upon PVW Construction's representations that it would abide by the Lease Agreement, the Lease's Exhibit A, and Revised Exhibit A. (¶¶ 95-96.) The FAC also alleges that PVW Construction represented it would allow Plaintiff to enter Camp Pendleton and retake possession of the Equipment and Optional Items in the event that Defendant failed were in Default under the Lease. (¶ 97.) The FAC further alleges that PVW attempted to modify the terms of the lease unilaterally, claiming that Mobile Kitchens had no right under the Default provisions, and had no right to retake possession. (¶ 96.)

Moreover, many of the allegations regarding misrepresentations start with "As part of the Lease ... " (¶¶ 96, 97, 108, and 109.) However, some of the alleged misrepresentations were made outside of the lease. (¶¶ 103, 115.)

The FAC further alleges: "Defendant engaged in the acts alleged above maliciously, willfully, oppressively, and with the intent to harm Plaintiff. Defendant engaged in despicable conduct and acted with a conscious disregard of Plaintiff's rights and with the intent to vex, injure, or annoy Plaintiff such as to constitute oppression, fraud, or malice under Civil Code Section 3294. Charles Gossage is an officer of PVW. The acts and conduct of Charles Gossage and Pat Walls were ratified by PVW. Plaintiff is therefore entitled to punitive damages in an amount sufficient to punish and make an example of Defendant." (¶ 105) The FAC further alleges: "Defendant engaged in the acts alleged above with fraud, maliciously, willfully, oppressively, and with the intent to harm Plaintiff. Defendant engaged in despicable conduct and acted with a conscious disregard of Plaintiff's rights and with the intent to vex, injure, or annoy Plaintiff such as to constitute oppression, fraud, or malice under Civil Code Section 3294. Charles Gossage is an officer of PVW, and Pat Walls is PVW's Director of Operations. Their conduct was ratified by PVW. Plaintiff is therefore entitled to punitive damages in an amount sufficient to punish and make an example of Defendant." (¶ 117)

Mobile Kitchen also seeks punitive damages in the Prayer for Relief. (¶ 5 under "For Causes of Action No. 2 through 3.)

Based on the foregoing, Mobile Kitchens' fraud causes of action are essentially asking the Court to enforce the original Lease Agreement, the Lease's Exhibit A, and Revised Exhibit A, and ignore PVW Construction's unilaterally revised version. However, Mobile Kitchens' Request for punitive damages renders the fraud causes of action tortious because they seek damages stemming from fraud, malice, or oppression, and not as a result of a breach of contract.

Mobile Kitchens contends that Haurat is distinguishable and cites to Lifeco Servs. Corp. v. Superior Ct. (1990) 222 Cal.App.3d 331, 333-334 (Lifeco), claiming that the venue selection clause can be upheld where breach of contract and torts arising from that contract sought actual and punitive damages. However, as PVW points out in its Reply, this case is not applicable because it was a forum selection clause that the court analyzed which is a different analysis. Additionally, punitive damages was not raised in Lifeco.

Based on the foregoing, the venue selection clause cannot apply to the fraud causes of action because they seek punitive damages. "In passing upon a motion for a change of venue the court must take the pleading as it is written; its sufficiency is not before the court, and the court may not speculate upon the appearance of the complaint after it is challenged by demurrer or as it may be tested by motions to strike. [Citations.]" (Johnson v. Superior Court, supra, 232 Cal.App.2d 212, 217-218.) All ambiguities will be construed against the pleader to the end that a defendant shall not be deprived improperly of his fundamental right to have the cause tried in the county of his residence. (Bybee v. Fairchild, 75 Cal.App.2d 35, 37 [170 P.2d 54]; Kaluzok v. Brisson, 27 Cal.2d 760 [167 P.2d 481, 163 A.L.R. 1308].)" (Haurat, supra, 241 Cal.App.2d at 334.)

The only possible venue for the fraud causes of action that seek punitive damages is San Diego County. Where venue is improper as to a single cause of action the entire First Amended Complaint must be transferred. (Jhirmack Enterprises v. Superior Court (1979) 96 Cal.App.3d 715, 720.)

Based on the foregoing, the Court GRANTS Defendant Peter Vander Werff Construction, Inc.'s Motion for Change of Venue.

The Court does not award attorney fees because it finds that the Opposition was made in good faith. This ruling is without prejudice for any party to bring a motion for attorney fees once there is a prevailing party at the culmination of the case.

The Court orders this matter to be transferred to the Superior Court of California for the County of San Diego located at 1100 Union St, San Diego, CA 92101 upon payment of all the necessary fees required by law. The clerk of this court is authorized to transfer all the pleadings and papers herein to the clerk of the receiving court. If those costs and fees are not paid within 30 days after service of notice of the transfer order, the court may, on a duly noticed motion by any party, dismiss the action without prejudice.

The Order to Show Cause re: Payment of Transfer Fees is scheduled for [insert date over one month from now], 2023 at [insert time] in Department C33.

		Defendant to give notice. 2. Application for Writ of Possession Plaintiff's Application for Writ of Possession is OFF-CALENDAR. Due to the Court's granting of the Motion for Change of Venue, the Writ of Possession cannot be heard by this Court. It is taken off-calendar as moot and the parties can reschedule it once this case is transferred to San Diego. Defendant to give notice.
8	2021-01201431 <i>Pierce vs. Specialized Loan Servicing, LLC</i>	1) Motion to Compel Answers to Form Interrogatories 2) Motion to Compel Answers to Special Interrogatories 3) Motion to Compel Answers to Special Interrogatories 4) Motion to Compel Answers to Special Interrogatories 5) Motion to Compel Further Responses to Form Interrogatories 6) Motion to Compel Further Responses to Special Interrogatories 7) Motion to Compel Further Responses to Special Interrogatories 8) Motion to Compel Production 9) Motion to Compel Production 10) Motion to Compel Response to Requests for Admissions 11) Motion to Compel Response to Requests for Admissions 12) Motion to Compel Response to Requests for Admissions 13) Motion to Deem Facts Admitted • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Further Responses to Interrogatories • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Responses to Interrogatories • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Responses to Request for Production • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Responses to Request for Production • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Further Responses to Interrogatories • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Further Responses to Interrogatories • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Further Responses to Request for Admissions and Deem Admitted • Defendant Newrez, LLC F/K/A New Penn Financial, LLC, D/B/A Shellpoint Mortgage Servicing's Motion to Compel Further Responses to Request for Admissions and Deem Admitted